EQUITY RESEARCH REPORT · INITIATING COVERAGE

Trent Ltd

India's best fashion retailer, priced as if every new store will be as good as the old ones

About the company

Trent Ltd, the Tata Group's retail company, sells own-label apparel, footwear, beauty and accessories through stores it operates itself. Two formats carry almost all of the business: **Westside**, a mid-premium fashion store of 20,000-30,000 sq ft (300 stores at FY26), and **Zudio**, a value-fashion store of 10,000-12,000 sq ft opened mainly in Tier II and III towns (963 domestic stores). Together with Samoh and Burnt Toast they occupied **17.7 mn sq ft** at March 2026 (AR p.119).

FY26 consolidated revenue was **INR 20,074 Cr** (+17%), EBITDA INR 3,745 Cr at 18.7% and PAT INR 1,720 Cr. Food and grocery is run by Star, a 50:50 joint venture with Tesco, and Trent holds 20% of Inditex's Zara and Massimo Dutti businesses in India; all three are equity-accounted and outside revenue.

Tata Sons and Tata Investment Corporation hold **37.01%**, none of it pledged. A 1:2 bonus issue (record date 4 June 2026) took the share count to 53.32 Cr.

Investment thesis

Trent has built the most productive store network in Indian apparel and still earns a 28% ROE on it. The problem is the new space. In FY26 average retail area grew **36%** while revenue grew 17%, so revenue per square foot fell **14%**: Zudio's Tier II and III stores sell less per foot than the base and trade for only part of their first year. We model area growth fading from 25% to 5% a year and sales per square foot recovering only from FY29. A ten-year FCFF DCF on that build gives **INR 772** a share (bull INR 1041, bear INR 483) against INR 2,971. At our cash flows the price implies a cost of capital of **8.1%**, within a point of the 10-year government bond. Target **INR 875**, the perpetuity DCF rolled 12 months forward. **SELL.**

Key highlights

- Stores **433 to 1263** and retail area **5.3 to 17.7 mn sq ft** between FY22 and FY26.
- Revenue per average sq ft INR 15,092 (FY24), INR 14,965 (FY25), **INR 12,868** (FY26).
- EBITDA margin 15.9% to **18.7%** over two years on operating leverage; gross margin flat near 44%.
- Net cash and no financial debt after the NCD was repaid in May 2026; lease liabilities INR 2,061 Cr.
- Trades at **87.6x** trailing P/E and 40.8x EV/EBITDA vs peer medians of 47.8x and 14.0x.
- Even a 25x FY36 exit multiple values the stock at INR 2,424; only today's 40x multiple held for a decade reaches the price.
- Clean accounts: CFO/PAT, accrual and working-capital screens all pass; Deloitte's opinion is unmodified.

RECOMMENDATION	
Rating	**SELL**
CMP	**INR 2,971.00**
Target price	**INR 875**
Upside	**-70.5%**

STOCK DATA AS ON 14 OCTOBER 2026	
52W H/L (INR)	**3,400 / 2,184**
Mkt cap (INR Cr)	**158,423**
O/S shares (Cr)	**53.32**
EV (INR Cr)	**160,177**
Dividend yield (FY27E)	**0.12%**
NSE / BSE	**TRENT / 500251**
Sector	**Fashion retail**

SHAREHOLDING (%) AS ON SEP-26	
Promoters (Tata)	**37.01**
FIIs	**15.28**
DIIs	**23.34**
Public & others	**24.37**
Pledged	**Nil**
Shareholders	**5,09,924**

FINANCIAL SUMMARY (INR CR)

	FY26	FY27E	FY28E
Revenue	20,074	24,085	27,931
YoY growth	17.2%	20.0%	16.0%
EBITDA	3,745	4,697	5,530
EBITDA margin	18.7%	19.5%	19.8%
PAT	1,720	2,298	2,730
EPS (INR)	32.25	43.09	51.20
EV/EBITDA (x)	42.8	34.1	29.0
P/E (x)	92.1	69.0	58.0

FY27E/FY28E from our three-statement model. EPS on the post-bonus share count. EBITDA after Ind AS 116.

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Consolidated basis

Economy: fastest-growing large economy, but money is tightening

REAL GDP Q1 FY27	CPI SEP-26	WPI SEP-26	REPO RATE
7.8%	**5.54%**	**11.39%**	**5.50%**
NSO, 31 Aug 2026	MoSPI, 12 Oct	OEA, 14 Oct	RBI, 7 Oct (+25 bp)

10Y G-SEC	BRENT	USD/INR
7.35%	**US$106/bbl**	**95.17**
13 Oct 2026	futures, 14 Oct	interbank close, 14 Oct

Source: NSO, MoSPI, Office of the Economic Adviser, RBI, market quotes; compiled in macro_pack.md (every figure dated and staleness-audited 15 October 2026)

Global backdrop

The IMF's October 2026 World Economic Outlook, published on 13 October, projects world growth of **3.1% in 2026 and 3.4% in 2027**, with world consumer-price inflation of 4.7% and 4.1%. It raised India to **7.0%** for FY27 and 7.0% for FY28, up 0.6 and 0.3 points from July, and China to 4.5% for 2026. Its theme is growth reallocating toward economies with AI-related investment and away from those most exposed to the energy shock from the West Asia conflict.

For an Indian apparel retailer the global channel runs through costs rather than demand. Brent is still above US$100 a barrel, which lifts freight, packaging and the polyester share of the fabric bill, and the rupee has weakened 5.7% against the dollar this year (Upstox, 14 October) before a four-day rally on RBI intervention.

India: demand strong, prices and rates rising

Real GDP grew **7.8%** in Q1 FY27 with nominal growth of 10.3%. Retail inflation rose to **5.54%** in September, a 23-month high, on food (7.74%), and wholesale inflation to **11.39%** on fuel and power (25.85%). The wearing-apparel component of WPI rose to 113.1 from 111.0 in April (Ministry of Commerce, via Fibre2Fashion).

The RBI raised the repo rate 25 bp to **5.50%** on 7 October, its first increase since February 2023, and moved its stance to 'calibrated tightening'. The 10-year government bond closed at **7.35%** on 13 October; that is the risk-free rate in our WACC.

Read-through: households still have income growth, but food inflation squeezes exactly the discretionary budget a value-fashion store competes for, and higher rates raise the discount rate on a stock whose value depends on growth a decade out.

Indian apparel retail: large, fragmented and moving to smaller towns

APPAREL MARKET FY25	FY30 FORECAST	TIER II AND SMALLER	ORGANISED APPAREL, AUG-26
INR 9.3 lakh Cr	**INR 16 lakh Cr**	**70%**	**+10% y/y**
CareEdge, Jan 2026	11.5% CAGR implied	of FY25 apparel spend (Wazir)	RAI Business Survey

TRENT'S SHARE
~2.2%
FY26 revenue / FY25 market

Source: CareEdge Ratings (14 Jan 2026), Wazir Advisors via Indian Retailer, Retailers Association of India Round 74 (via IBEF). The FY25 market size and the tier split are the latest published and are flagged as aged in macro_pack.md.

CareEdge puts India's apparel retail market at **INR 9.3 lakh Cr** in FY25, having grown about 7% a year, and forecasts roughly INR 16 lakh Cr by FY30, a 11.5% CAGR. On that base Trent's FY26 revenue, which includes beauty, footwear and innerwear, is around **2.2%** of the market: large for an Indian retailer, small against the opportunity the company itself describes.

Where the spending happens has shifted. Wazir estimates that **70%** of FY25 apparel spend was in Tier II cities and smaller towns, which is the ground Zudio has been taking: over 80% of its FY26 openings were in Tier II and III cities and peripheral Tier I micro-markets (AR p.118). Organised apparel sales grew 10% year on year in August 2026 after 5-6% in May-June (RAI), so demand recovered into the festive season.

Three demand drivers

- **Formalisation.** Branded, organised retail keeps taking share from unorganised tailoring and local stores, most of all in smaller towns where modern formats are new.
- **Value fashion.** Apparel priced below INR 2,500 attracts 5% GST against 12% above it (Financial Express, Jan 2026), which suits Zudio's price architecture.
- **Category breadth.** Beauty, innerwear and footwear were over 21% of Trent's Q1 FY27 revenue (press release), raising spend per visit without adding stores.

Headwinds the sector carries

- **Competition in value fashion.** Reliance's Yousta, Aditya Birla's Style Up, V-Mart, V2 Retail and quick-commerce apparel all target the same Tier II and III customer.
- **Cannibalisation.** Denser store networks in a town split the same customers between more stores; Trent's own like-for-like growth was in the low single digits in FY26 (AR p.119).
- **Input and rent costs.** Fuel and power WPI is up 25.85% and textile manufacturing prices are rising; rent on quality retail space is the industry's largest fixed cost.
- **Discretionary demand.** Apparel is among the first purchases deferred when food inflation rises, as it did in September.

Read-through: the market can absorb many more Zudio stores; the question the industry data cannot answer is how much each new store will sell when it opens next to an existing one or a competitor.

Company history: from one Westside store to 1,300 large-box stores

1998 Trent opens its first **Westside** store, an own-brand department store; Westside remains the company's original concept.

2014 Star food and grocery moves into Trent Hypermarket, a 50:50 joint venture with Tesco plc.

2016 Zudio launched as a value-fashion format with exclusive in-house brands, no e-commerce and limited discounting.

2019-20 Acquires Booker India (cash-and-carry and warehousing for Star) and raises equity through an allotment in August 2019.

2023 Samoh (Indian occasion wear) launched; Trent MAS Fashion formed as a 50:50 sourcing JV for innerwear.

2024 Zudio International: first store in Dubai; six UAE stores by March 2026.

2025 Burnt Toast opens its first store (Vadodara).

FY26 1286 stores in 321 cities and 17.7 mn sq ft; revenue INR 20,074 Cr.

2026 1:2 bonus issue (record date 4 June); Zudio's 1,000th store opens in Q2 FY27.

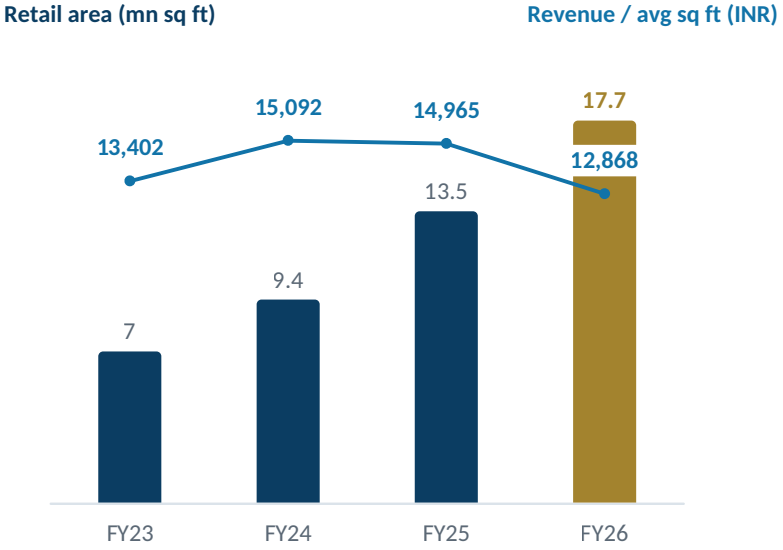
Source: FY26 Integrated Annual Report p.12 (Our Journey), p.103 (bonus issue), p.125 (subsidiaries); Q2 FY27 business update. FY26 store count includes 23 stores of other concepts and the UAE.

Business model: own brands, owned stores, retail area times sales per square foot

Trent sells almost nothing it does not design. Westside's and Zudio's ranges are exclusive in-house brands, sourced almost entirely in India, with fresh collections at short intervals; Zudio avoids heavy discounting and does not sell online (AR pp.117-118). Revenue therefore comes from one place, its own stores, and the model is simply retail area multiplied by what each square foot sells.

Both sides of that product moved in FY26. Retail area rose from 13.5 to 17.7 mn sq ft (Westside 5.5 to 7.3, Zudio 8.0 to 10.4). Revenue per average square foot fell from INR 14,965 to **INR 12,868**. The company's own tier data explains why: annualised fashion sales per square foot were INR 15,318 in Metro and Tier I cities, INR 13,390 in Tier II and INR 12,504 in the rest of India (AR p.119), and most new space is in the second and third groups.

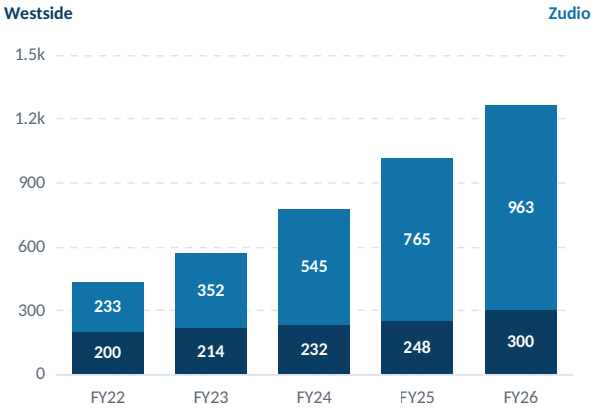
Retail area (mn sq ft) and revenue per average sq ft (INR)



Source: FY26 Integrated Annual Report p.119 (area); Screener (revenue); our calculation

Read-through: Area grew 36% on average in FY26 while revenue per square foot fell 14%: the new space sells less than the old, and opened late in the year.

Store count by format, FY22-FY26



Source: FY26 Integrated Annual Report pp.14-15

Read-through: Zudio went from 233 to 963 stores in four years, four-fifths of all openings; Westside added 100.

Zudio is the growth engine: a 10,000-12,000 sq ft box costing INR 3-4 Cr of capital including fit-out, deposits and inventory, opened in micro-markets close to customers (AR p.118). It added 208 domestic stores in FY26 and consolidated 14. **Westside** is larger (20,000-30,000 sq ft), more premium and more mature; over 90% of its revenue comes from members of its loyalty programme and about 6% is online (AR pp.116-117).

Emerging categories, beauty, innerwear and footwear, were over 20% of FY26 revenue (AR p.119), sold through both formats and partly sourced from the Trent MAS joint venture.

Formats and brands



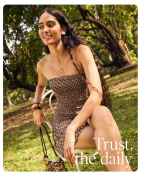
Westside
Mid-premium own-brand fashion



Zudio
Value fashion, Tier II/III focus



Samoh
Indian occasion wear



Burnt Toast
Launched 2025



Studiowest
Beauty and fragrance



Star
Food and grocery (JV)

Brand photography: FY26 Integrated Annual Report pp.14-18 and p.115.



Westside
Sardarpura, Jodhpur



Zudio
Sterling City, Sirsa



Star and Zudio
Landge Bhosari, Pune

Store photographs: FY26 Integrated Annual Report pp.93, 116, 123. Sirsa, a Tier III town in Haryana, is typical of where Zudio is now opening.

Group structure: one business consolidated, three held as investments

Principal group companies, FY26

Entity	Relationship	Business	FY26
Trent Ltd (standalone)	Parent	Westside, Zudio, Samoh, Burnt Toast	INR 20,074 Cr consolidated revenue
Trent Hypermarket Pvt Ltd (Star)	50:50 JV with Tesco	Food and grocery, 84 stores, 12 cities	Loss before tax INR 127.92 Cr
Inditex Trent Retail India	Associate, 20%	Zara, 22 stores	Revenue INR 2,749 Cr
Massimo Dutti India	Associate, 20%	Massimo Dutti, 4 stores	Revenue INR 128 Cr
Trent MAS Fashion	50:50 JV with MAS	Innerwear design and manufacture	Supplies Westside and Zudio
Booker India Ltd	Subsidiary, 51%	Cash-and-carry and warehousing for Star	Revenue INR 442.32 Cr
Fiora Hypermarket Ltd	Subsidiary	Star and Zudio stores, StarQuik online	Revenue INR 253.65 Cr

Source: FY26 Integrated Annual Report pp.120-125 (MD&A) and Form AOC-1 pp.247-249

Only the fashion business and a handful of small subsidiaries are consolidated. Star, the Zara and Massimo Dutti associates and the MAS joint venture are equity-accounted: together they carry INR 737 Cr of non-current investments, which we add to equity value at book rather than forecast.

Management is unusually direct about the Inditex stakes. The partner controls brand, product and sourcing, so Trent "views its related commitments as a financial investment" rather than a strategic one (AR p.125). Star is a different case: a business Trent runs and believes in, but one that lost more money in FY26 than in FY25 after a year of store refits.

Read-through: the equity-accounted stakes are worth under 1% of Trent's market value at book; even at several times book they cannot close the gap between our value and the price.

Board and management



Noel N. Tata

Chairman · Non-Executive Director

Chairs the board and attended all five FY26 meetings; holds 8,86,930 shares in his own name (AR p.128). Ratio of FY26 pay to the median employee 39.25x (commission and sitting fees, AR p.111). His Chairman's message frames Trent around brands 'built ground up from India' (AR p.7).



P. Venkatesalu

Managing Director

With Trent for over 17 years as MD, Executive Director, CEO and CFO; commerce graduate, Harvard Business School AMP, CFA (AR p.256). FY26 remuneration 420.91x the median employee, up 9.88%; the median employee's pay rose 2.16% (AR p.111). Re-appointment is on the 2026 AGM agenda.

Photographs: FY26 Integrated Annual Report pp.7-8, the Chairman's message and the MD's letter, each carrying a single portrait of its signatory. The board was photographed only in groups, so other directors are profiled in the table.

Board at March 2026, attendance and pay

Director	Category	Board meetings	Pay / median	Background
Noel N. Tata	Chairman, NED	5/5	39.25x	Tata Group; Chairman
Harish Bhat	NED, non-independent	5/5	24.43x	Tata Group nominee
Jayesh Merchant	Independent	5/5	29.49x	Finance; chairs three committees elsewhere
Ravneet Singh Gill	Independent	5/5	19.30x	Four decades in banking (AR p.256)
Hema Ravichandar	Independent	5/5	26.28x	Strategic HR advisor; IIM Ahmedabad (AR p.256)
Kiran Mazumdar Shaw	Independent	5/5	11.25x	FY26 pay up 778% on a part-year base
P. Venkatesalu	Managing Director	5/5	420.91x	Executive; 17 years at Trent
Bahram N. Vakil	NED, from 23 Apr 2026	n/a	n/a	Co-founder, AZB & Partners (AR p.256)

Source: Corporate Governance Report p.128 (composition, attendance); Board's Report Annexure p.111 (pay ratios); AGM notice p.256. Susanne Given ceased on 16 November 2025 (2 of 5 meetings).

The board is small and independent on paper: seven directors at March 2026, four independent (57%), two women, and full attendance at all five meetings by every continuing director (AR p.128). Two of the three non-independent seats are Tata nominees, and a third, the lawyer Bahram Vakil, joined in April 2026.

The key managerial personnel are the MD, **Neeraj Basur** (CFO) and **Krupa Anandpara** (Company Secretary) (AR p.106). Leadership has been stable: Mr Venkatesalu has run the company through the whole Zudio expansion, after earlier serving as its CFO.

Pay is the one figure that stands out. The MD earned 420.91 times the median employee in FY26, against a median that rose 2.16% across 31,226 permanent employees (AR p.111). Store staff in a value-fashion chain are low-paid, so the ratio partly reflects the denominator, but it is high even by Indian large-cap standards.

Read-through: a stable, Tata-anchored board with full attendance; governance is not where the risk in this stock sits.

Shareholding: Tata-controlled, no pledge, broad institutional base

PROMOTERS	FIIS	DIIS	PLEDGED
37.01%	**15.28%**	**23.34%**	**Nil**
Tata Sons 32.45%, Tata Investment 4.28%	Sep-26	Sep-26	no NDU or other encumbrance

SHARES
53.32 Cr
post 1:2 bonus

Source: BSE shareholding pattern, quarter ended 30-09-2026 (promoters); Screener for FII/DII split

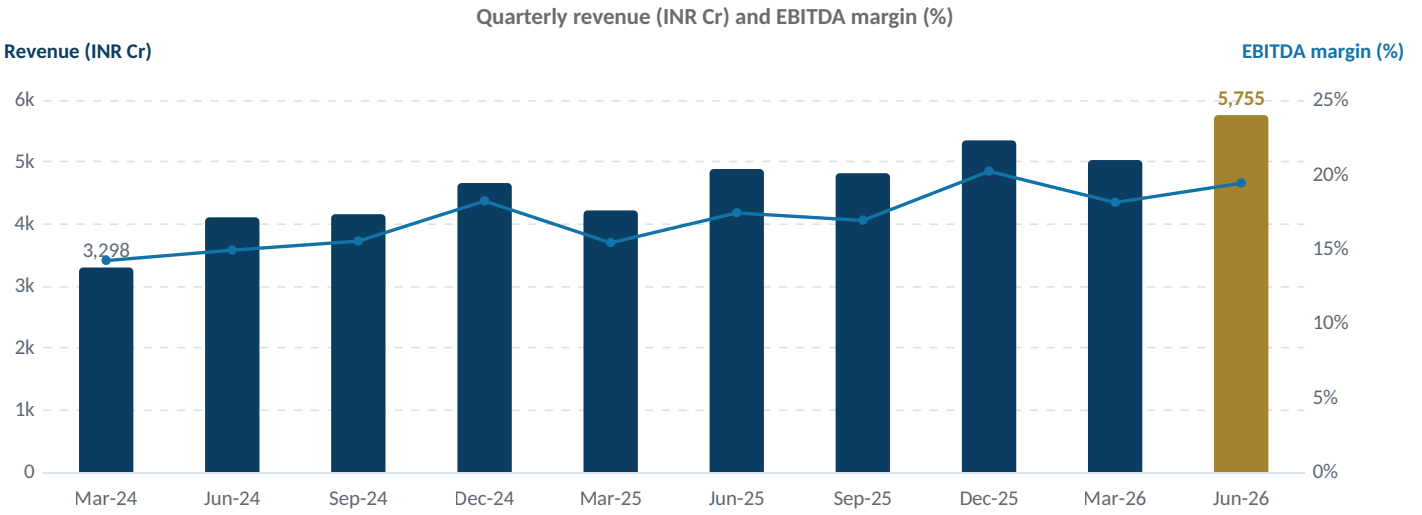
Trent is controlled by the Tata Group through Tata Sons (32.45%) and Tata Investment Corporation (4.28%). No promoter shares are pledged or under any other encumbrance, and the company has no employee-trust shares to exclude from the count. The 1:2 bonus approved in April 2026 raised the share count from 35.55 Cr to 53.32 Cr without changing anyone's stake; the board recommended a dividend of INR 6 a share for FY26 on the pre-bonus count, proportionately reduced after the bonus (AR p.103). At INR 2,971 the dividend yield is negligible: this is a stock owned for growth.

Quarterly snapshot: growth has settled near 18-20%, margin still rising

Quarterly results (INR Cr, consolidated)

Particulars	Q4 24	Q1 24	Q2 24	Q3 24	Q4 25	Q1 25	Q2 25	Q3 25	Q4 26	Q1 26
Revenue	3,298	4,104	4,157	4,657	4,217	4,883	4,818	5,345	5,028	5,755
YoY growth	n/a	n/a	n/a	n/a	27.9%	19.0%	15.9%	14.8%	19.2%	17.8%
EBITDA	470	613	646	847	651	848	816	1,081	911	1,119
EBITDA margin	14.2%	14.9%	15.5%	18.2%	15.4%	17.4%	16.9%	20.2%	18.1%	19.4%
Other income	695	101	51	80	74	50	28	5	28	30
Depreciation	213	181	197	245	272	293	325	367	377	410
Interest	33	32	33	37	38	40	42	43	44	47
Profit before tax	919	501	467	646	416	565	477	676	519	692
Net profit	**704**	**393**	**339**	**497**	**318**	**430**	**377**	**513**	**400**	**519**

Source: Screener.in quarterly results. Interest and depreciation include Ind AS 116 lease charges. Q2 FY27 results are due in November 2026; the Q2 business update reported standalone revenue of INR 5,788 Cr (+23%).



Source: Screener.in quarterly results (consolidated)

Read-through: Q1 FY27 revenue was 18% above Q1 FY26, and the 19.4% EBITDA margin was +209 bps on the year-ago 17.4%; growth has slowed from the 30-40% of FY24-FY25, but each quarter is more profitable.

What management is saying

Trent does not hold quarterly earnings calls or publish call transcripts; concall.in lists only its presentations. Management speaks through quarterly press releases, the investor presentation, the annual report and the AGM, and this page draws on those.

Q1 FY27 (results, 6 August 2026)

- **Revenue.** Standalone INR 5,666 Cr (+19%), consolidated INR 5,755 Cr (+18%); operating EBITDA +36% standalone.
- **Margin.** Operating EBIT margin 12.9% against 11.5% a year earlier; "the gross margin profile of Westside and Zudio remains stable".
- **Stores.** 1 Westside and 22 Zudio opened, 3 Zudio consolidated; 301 Westside, 982 Zudio (7 in the UAE) and 29 other stores, over 18 mn sq ft.
- **Categories.** Beauty, innerwear and footwear over 21% of revenue; online over 6% of Westside revenue.
- **Star.** 5 new stores, 86 in 12 cities; own brands increasingly deliver "a viable economic profile at the store level".
- **Caution.** "The full year results are more representative of the performance of the business" given its sourcing, pricing and inventory provisioning.

Q2 FY27 (business update, 5 October 2026)

- Standalone revenue INR 5,788 Cr (+23%); H1 INR 11,454 Cr (+21%). Net adds 10 Westside and 17 Zudio; 1,342 stores in all; Zudio's 1,000th store opened.

From the FY26 annual report

- **Productivity.** "For the fashion portfolio the like for like growth during FY26 was in the low single digits" (p.119).
- **Depreciation.** "Newer stores carry higher depreciation relative to revenues, impacting EBITDA in early years" (p.126).
- **Tier mix.** Annualised sales per sq ft INR 15,318 Metro/ Tier I, 13,390 Tier II, 12,504 rest of India (p.119).
- **Opportunity.** The Chairman says Trent's brands "represent only a small share of the overall addressable market" (Q1 FY27 release).

What it changes for us

The pace of openings is the variable to watch. Net additions were 47 stores in H1 FY27 against 54 in H1 FY26; in FY26 the second half then added 196. Our FY27 area forecast assumes a similar back-ended year. Management has not given a store-addition target in its own documents; the 200-250 a year often quoted for Zudio comes from broker notes, so we do not rely on it. The repeated warning about quarterly results and the low-single-digit like-for-like are the two disclosures that shaped our sales-per-sq-ft path.

Source: Q1 FY27 press release and investor presentation (6 August 2026); Q2 FY27 business update via Business Standard (6 October 2026); FY26 Integrated Annual Report, page references to the PDF.

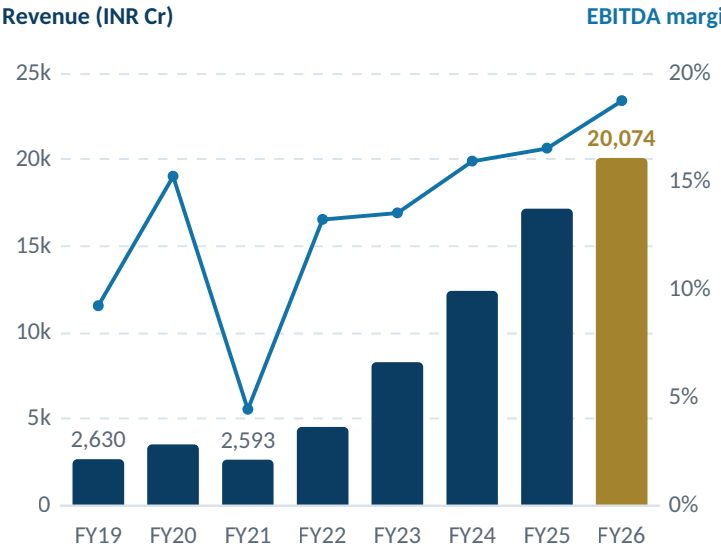
Ten-year P&L: revenue up 11x, margin built on operating leverage

Consolidated P&L (INR Cr)

Particulars	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Revenue from operations	1,812	2,157	2,630	3,486	2,593	4,498	8,242	12,375	17,135	20,074
YoY growth	n/a	19.0%	21.9%	32.5%	-25.6%	73.5%	83.2%	50.1%	38.5%	17.2%
Gross margin	48.5%	49.7%	47.9%	44.1%	38.9%	43.2%	41.0%	41.9%	41.4%	41.5%
Operating expenses	1,679	1,949	2,390	2,957	2,479	3,903	7,128	10,404	14,315	16,329
EBITDA	**134**	**208**	**241**	**529**	**114**	**595**	**1,114**	**1,971**	**2,820**	**3,745**
EBITDA margin	7.4%	9.7%	9.2%	15.2%	4.4%	13.2%	13.5%	15.9%	16.5%	18.7%
Other income	81	27	30	147	199	152	341	989	305	85
Depreciation	41	46	52	247	257	311	494	671	895	1,361
Interest	46	44	51	263	261	325	409	368	200	233
Profit before tax	128	147	168	165	-205	111	552	1,921	2,030	2,236
Effective tax rate	33.6%	40.6%	43.7%	35.8%	11.6%	68.9%	28.7%	23.1%	24.4%	23.0%
Net profit (owners)	**85**	**87**	**97**	**123**	**-146**	**106**	**445**	**1,487**	**1,547**	**1,720**
PAT margin	4.7%	4.0%	3.7%	3.5%	-5.6%	2.4%	5.4%	12.0%	9.0%	8.6%

Source: Screener.in (consolidated). From FY20 EBITDA is after Ind AS 116: fixed rent sits in depreciation and interest, so margins before and after FY20 are not comparable. FY24 other income includes a one-off gain; FY26 PBT includes an exceptional loss of INR 26.11 Cr (AR p.213).

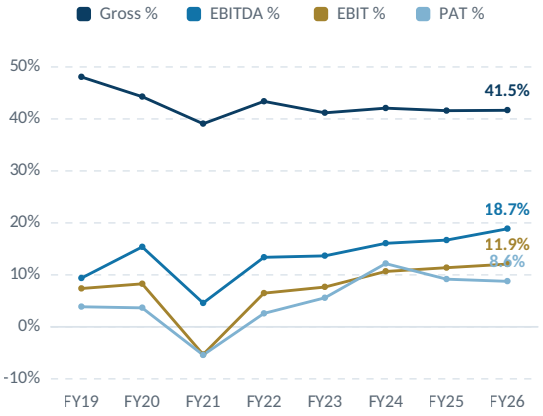
Revenue (INR Cr) and EBITDA margin (%)



Source: Screener.in, consolidated

Read-through: Revenue rose from INR 4,498 Cr in FY22 to INR 20,074 Cr in FY26, and the margin from 13.2% to 18.7%; growth slowed to 17% in FY26 for the first time since Covid.

Gross, EBITDA, EBIT and PAT margins (%)



Source: Screener.in, consolidated

Read-through: Gross margin has sat between 41% and 43% for five years: the margin gains are cost leverage on a larger store base, not pricing power.

Growth decomposes into space and productivity. Between FY23 and FY26 retail area grew from 7.0 to 17.7 mn sq ft (2.5x) while revenue grew from INR 8,242 Cr to INR 20,074 Cr (2.4x): all of it came from new space. Revenue per average square foot was INR 13,402 in FY23, rose to INR 15,092 in FY24, held at INR 14,965 in FY25 and fell to INR 12,868 in FY26. EBITDA margin nonetheless rose 220 bps in FY26 to 18.7%, because employee cost and overheads grew far more slowly than sales: employee cost was 6.8% of revenue against 8.4% in FY24.

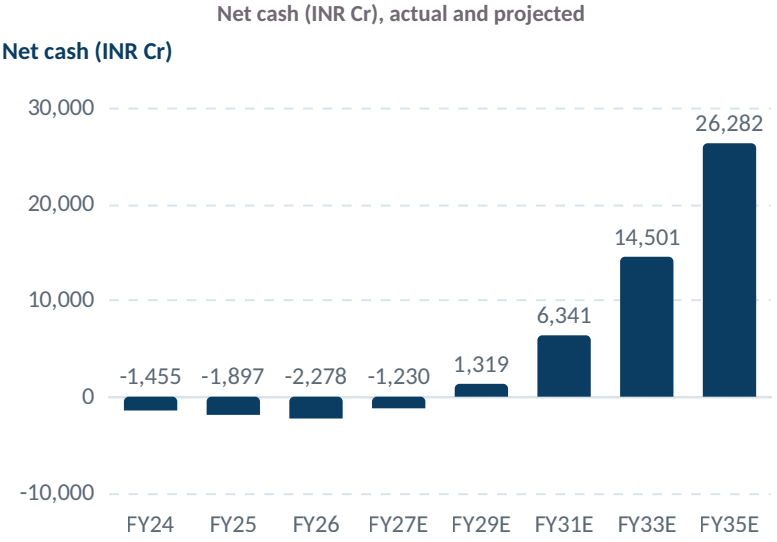
Balance sheet: net cash; the only debt is the leases

Consolidated balance sheet (INR Cr)

Particulars	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Equity capital	33	33	33	36	36	36	36	36	36	36
Reserves	1,514	1,562	1,613	2,352	2,277	2,328	2,560	4,032	5,426	6,949
Borrowings incl. leases	392	391	494	300	2,964	4,725	4,464	1,753	2,237	2,561
Other liabilities	283	349	418	2,819	447	637	1,022	1,341	1,721	2,183
Total liabilities & equity	**2,222**	**2,336**	**2,559**	**5,507**	**5,724**	**7,726**	**8,082**	**7,162**	**9,420**	**11,729**
Net block incl. right-of-use	549	613	662	2,738	3,054	4,687	4,527	2,450	3,895	5,519
Capital work in progress	5	10	87	23	108	105	102	224	180	254
Investments	1,080	1,023	883	1,515	1,487	1,284	1,110	1,416	1,480	1,385
Inventory	305	345	497	608	428	868	1,361	1,583	2,045	2,289
Cash & bank	34	33	54	61	81	86	86	298	340	283
Debt / equity (x)	0.25	0.25	0.30	0.13	1.28	2.00	1.72	0.43	0.41	0.37
Interest coverage (x)	2.0	3.7	3.7	1.1	-0.5	0.9	1.5	3.5	9.6	10.2

Source: Screener.in (consolidated). Borrowings include Ind AS 116 lease liabilities from FY20; at March 2026 they were INR 2,061.36 Cr of leases and a INR 499.89 Cr NCD (AR p.213). Investments include INR 647.53 Cr of liquid mutual funds.

Net cash (INR Cr), actual and projected



Source: Screener.in; our three-statement model (FY27E onward), leases excluded

Read-through: The NCD was repaid in May 2026 and the existing leases run off; with new stores paid for as they open, the business accumulates cash.

Trent has no financial debt today. Its only bond, a INR 500 Cr NCD at 5.78%, was redeemed on 29 May 2026 (AR p.227). The INR 2,561 Cr of 'borrowings' in the Screener balance sheet is almost all Ind AS 116 lease liability: the present value of rent committed on stores. We deduct that liability from enterprise value like debt. Leases signed from now on are treated as capex when the store opens, because EBITDA after Ind AS 116 would otherwise never be charged their rent.

Interest coverage of 10.2x in FY26 is lease interest, not bank interest. The balance sheet's real exposure is inventory: INR 2,289 Cr at March 2026, 20% of total assets.

Read-through: nothing in the balance sheet constrains the store roll-out; the constraint is whether each new store earns its rent.

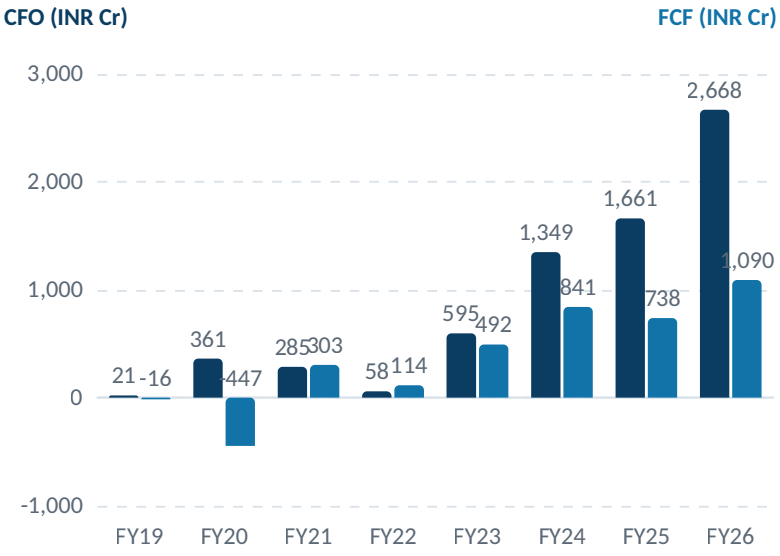
Working capital, capex and cash flow

Cash flow and working capital

Particulars	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Cash from operations (INR Cr)	102	77	21	361	285	58	595	1,349	1,661	2,668
Cash from investing (INR Cr)	-44	-4	-37	-809	18	56	-103	-508	-923	-1,577
Cash from financing (INR Cr)	-51	-74	37	452	-283	-108	-491	-629	-694	-1,148
Capex incl. new leases (derived)	n/a	113	179	2,260	657	1,940	331	-1,284	2,296	3,059
CFO / EBITDA	77%	37%	9%	68%	250%	10%	53%	68%	59%	71%
Inventory days	n/a	109	112	103	119	93	84	75	66	67
Receivable days	n/a	2.0	2.0	2.0	3.0	2.0	1.0	2.0	2.0	1.0
Fixed asset turnover (x)	n/a	3.72	4.13	2.05	0.90	1.16	1.79	3.55	5.40	4.26

Source: Screener.in; model.json ratios. Capex derived as change in net block plus change in CWIP plus depreciation, so it includes right-of-use additions for new leases. Lease payments sit in financing cash flow (INR 796.86 Cr in FY26, AR p.215).

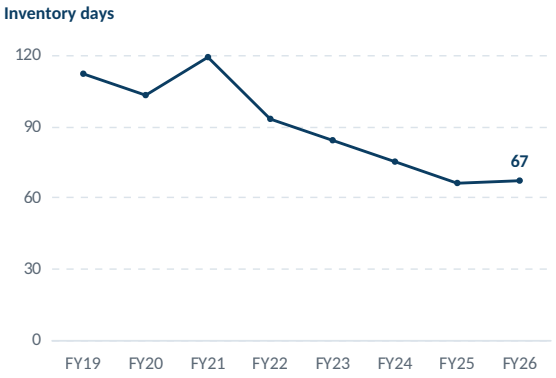
CFO and FCF (INR Cr)



Source: Screener.in; model.json ratios

Read-through: CFO reached INR 2,668 Cr in FY26; FCF after reported capex was positive, but after lease payments of INR 797 Cr the cash left for shareholders is much smaller.

Inventory days



Source: model.json ratios (on purchases)

Read-through: Inventory days fell from 93 in FY22 to 67 in FY26 as Zudio's faster-turning model grew; shrinkage was 0.29% of sales (AR p.119).

Retail working capital is light: customers pay at the till (receivables are about one day of sales), suppliers are paid in roughly 33 days of purchases, and inventory is the only material item. Capital goes into stores. The FY26 cash flow statement shows INR 1,762.85 Cr of property and equipment purchases (AR p.215) and the right-of-use note INR 1,241.87 Cr of new leases (AR p.224): together about 15% of revenue. Over FY22-FY26 the company generated INR 6,330 Cr of operating cash, enough to fund the roll-out without equity or bank debt.

Ratio analysis

Profitability and returns (%)

Particulars	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Gross margin	48.5%	49.7%	47.9%	44.1%	38.9%	43.2%	41.0%	41.9%	41.4%	41.5%
EBITDA margin	7.4%	9.7%	9.2%	15.2%	4.4%	13.2%	13.5%	15.9%	16.5%	18.7%
EBIT margin	5.1%	7.5%	7.2%	8.1%	-5.5%	6.3%	7.5%	10.5%	11.2%	11.9%
PAT margin	4.7%	4.0%	3.7%	3.5%	-5.6%	2.4%	5.4%	12.0%	9.0%	8.6%
ROE	n/a	5.5%	6.0%	6.1%	-6.2%	4.5%	17.9%	44.6%	32.5%	27.6%
ROCE	n/a	8.3%	9.2%	11.7%	-3.6%	4.6%	8.8%	20.2%	28.5%	27.6%
ROIC	n/a	5.0%	5.3%	7.7%	-3.2%	1.4%	6.3%	16.0%	22.6%	22.1%

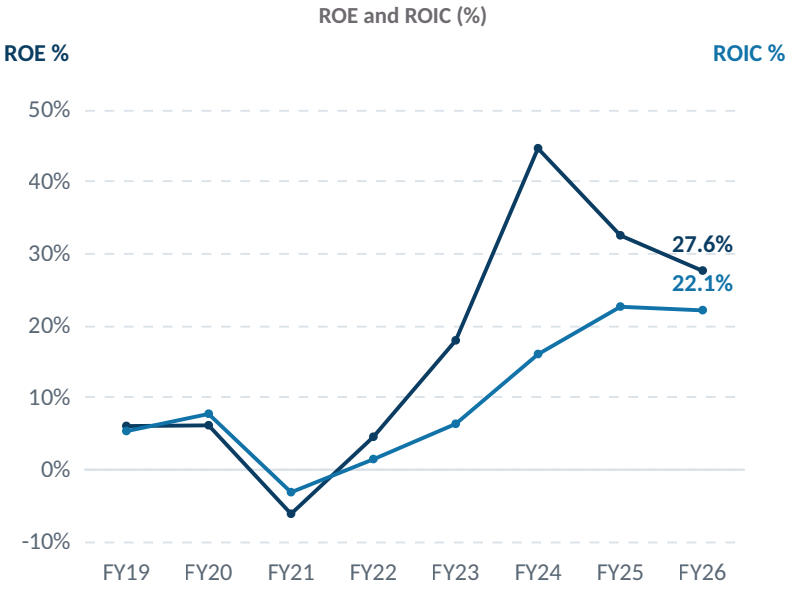
Source: model.json ratios (averages of opening and closing balances)

Leverage, efficiency and cash

Particulars	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Asset turnover (x)	n/a	0.81	0.90	0.75	0.42	0.60	0.90	1.32	1.63	1.53
Cash conversion cycle (days)	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	35
CFO / PAT	121%	88%	22%	294%	-195%	55%	134%	91%	107%	155%
FCF / sales	3%	3%	-1%	-13%	12%	3%	6%	7%	4%	5%
EPS (INR, reported share count)	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a

Source: model.json ratios. EPS is on the share count of each year (pre-bonus); payable days exist for FY25-FY26 only, so the cash conversion cycle is shown where it can be computed.

Returns: high, but the last two years of capital earned less



Source: model.json ratios (average-balance basis)

Trent earns well on its capital. ROIC of 22.1% in FY26 is above our 13.4% WACC, and the company's own operating ROCE excluding Ind AS 116 was higher still (AR p.92). The question for valuation is the return on the next rupee, because that is what the growth in our forecast earns.

Net profit margin	×	Asset turnover	×	Equity multiplier	=	ROE
8.6% (FY26)		1.53x (retail stores)		2.11x (incl. leases)		27.6%

Five-step, FY26: tax burden 0.80x, interest burden 0.90x, operating margin 11.9%, asset turnover 1.53x, equity multiplier 2.11x. Trent's ROE is a turnover story: thin margins on assets that turn over 1.5 times a year; part of the equity multiplier is lease liability, not borrowing.

Read-through: ROIC rose from 1.4% in FY22 to 22.6% in FY25 and held at 22.1% in FY26; ROE peaked at 44.6% in FY24 on a one-off gain.

Return on incremental invested capital

Particulars	FY22	FY23	FY24	FY25	FY26
NOPAT (INR Cr)	88	442	1,000	1,455	1,835
Invested capital (INR Cr)	7,003	6,973	5,523	7,359	9,263
Change in NOPAT	215	354	557	455	380
Change in invested capital	1,808	-30	-1,450	1,836	1,904
ROIIC, single year	**8.4%**	**19.6%**	**-1,853.7%**	**-31.4%**	**20.7%**

Source: model.json (NOPAT = EBIT x (1 - tax); invested capital = equity + debt incl. leases - cash). FY24-FY25 single-year values swing with large movements in investments and a one-off gain in FY24; FY26 is the clean year.

Read-through: FY26 added INR 1,904 Cr of invested capital for INR 380 Cr more NOPAT, an incremental return of 20.7%: still above the cost of capital, and the basis for our 20% return on new capital in perpetuity.

Forensic screens, auditor and related parties

Forensic screen

Test	Value	Verdict
CFO / PAT (10-yr mean)	87.2%	PASS
Receivables growth – Sales growth (5-yr avg)	-18.1 pp	PASS
Inventory growth – Sales growth (5-yr avg)	-9.1 pp	PASS
Sloan accrual ratio (5-yr mean)	-1.6%	PASS
Interest coverage (latest)	10.2x	PASS
Altman Z' (book equity, FY26)	2.74	GREY
Piotroski F (FY26)	5/8	WATCH

Source: model.json forensic block

The earnings convert to cash. CFO has averaged 87.2% of PAT over ten years, receivables and inventory have grown more slowly than sales over five, and the Sloan accrual ratio is negative. Inventory, the item most likely to hide a problem in apparel retail, has fallen as a share of sales every year since FY22.

The scores read worse than the business. Altman Z' of 2.74 sits in the grey zone because lease liabilities count as debt and the model was calibrated on manufacturers. Piotroski scores 5/8, failing on roa improving, current ratio rising, asset turnover rising; all three reflect a store base growing faster than revenue (the productivity decline this report is about), not accounting quality.

Auditor

Deloitte Haskins & Sells LLP issued an unmodified opinion on the FY26 consolidated statements. The key audit matters were the existence of inventory, spread across a large number of stores and warehouses, and the IT systems behind revenue and inventory (AR pp.208-209). No qualification, emphasis of matter or going-concern paragraph.

Related-party transactions

The material related party is Trent Hypermarket, the Star joint venture: shareholders approved transactions with it of up to INR 2,000 Cr for FY26 (AR p.107), covering merchandise, Zudio stores operated inside Star and shared services. Fiora Business Support Services, a wholly owned subsidiary, provides accounting, merchandising, payroll and warehousing to Trent and its associates (revenue INR 295.83 Cr, AR p.125). All transactions are reported as at arm's length and in the ordinary course.

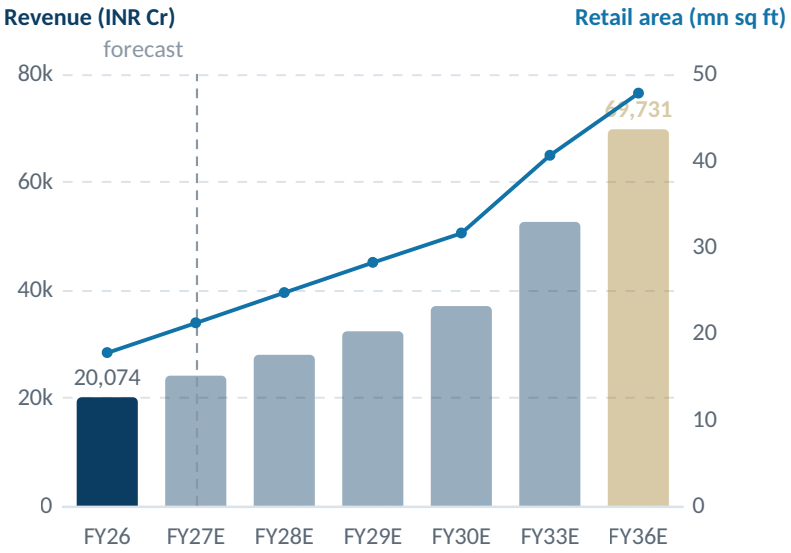
Contingent liabilities

Small: INR 79.07 Cr of disputed income tax, INR 9.29 Cr of claims against the company and INR 3.38 Cr of indirect tax at March 2026 (consolidated notes, AR p.230), about 0.06% of market value.

Read-through: nothing in the accounts suggests earnings are overstated. The questions in this stock are about the future productivity of new stores, not about the quality of reported numbers.

Forecasts: area growth slows, productivity recovers late

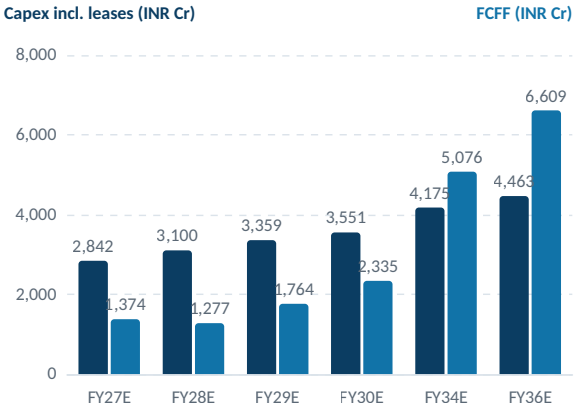
Revenue (INR Cr) and retail area (mn sq ft), base case



Source: Our area x sales-per-sq-ft build (segment_build.json)

Read-through: Area rises from 17.7 to 47.75 mn sq ft by FY36 while revenue grows at a 13.3% CAGR: growth slows from 20% to under 10% as the roll-out matures.

Capex including new leases vs FCFF (INR Cr)



Source: Our DCF forecast

Read-through: FCFF is INR 1,374 Cr in FY27E and overtakes capex only in the 2030s, as openings slow and the store base matures; 58% of enterprise value sits beyond FY36.

Projected financial statements (INR Cr)

Particulars	FY26	FY27E	FY28E	FY29E	FY30E	FY31E	FY36E
Revenue	20,074	24,085	27,931	32,300	36,993	42,017	69,732
EBITDA	**3,745**	**4,697**	**5,530**	**6,460**	**7,399**	**8,403**	**13,946**
EBITDA margin	18.7%	19.5%	19.8%	20.0%	20.0%	20.0%	20.0%
Depreciation	1,361	1,588	1,949	2,280	2,590	2,867	3,897
Profit after tax	**1,720**	**2,298**	**2,730**	**3,271**	**3,857**	**4,546**	**9,278**
EPS (INR)	32.25	43.09	51.20	61.35	72.34	85.26	174.00
Capex incl. new leases	2,985	2,842	3,100	3,359	3,551	3,739	4,463
Cash from operations	2,780	4,150	4,385	5,218	6,089	7,029	12,713
Net debt (negative = cash)	2,278	1,230	217	-1,319	-3,484	-6,341	-33,706

Shaded italic columns are projections; the dashed rule marks the last reported period.

Source: Our three-statement model (financial-model skill), linked P&L, balance sheet and cash flow; balance sheet ties every year. FY26 is reported; EPS on the post-bonus share count.

Key assumptions

Driver	Value	Basis
Retail area added	3.45 mn sq ft FY27, fading to 2.2 by FY36	H1 FY27 net adds close to H1 FY26; FY26 added 4.2 mn sq ft
Sales per sq ft	-5% FY27, -2% FY28, then +1% to +4%	FY26 revenue per avg sq ft fell 14%; LFL 'low single digits'
First-year trading of new area	35%	FY26 openings back-ended: Zudio 109 of 198 net adds in Q4
Revenue growth	20% FY27 to 9.5% FY36	derived from the two drivers above
EBITDA margin (post Ind AS 116)	19.5% to 20.0%	FY26 18.7%, Q1 FY27 19.4%
Capex incl. new leases	11.8% to 6.4% of sales	FY26 15.0%: INR 524 Cr per mn sq ft plus 4% of sales sustaining
Tax rate	24%	FY26 effective 23.0%
Terminal growth / RONIC	6% / 20%	own ROIC 19.8% FY25-FY26

Source: assumptions_evidence.md: every driver cited to a page with a confidence level

The forecast rests on two numbers the company discloses every quarter: how much retail area it opens and how much revenue that area produces. We keep openings close to the recent pace for four years and then let them fade, ending FY36 with about 48 mn sq ft, roughly 2.7 times today. Sales per square foot keep falling in FY27 and FY28 as Tier II and III space keeps arriving, stabilise in FY29 and then grow a little faster than inflation as the network matures.

New stores are charged in full when they open: capex here includes the right-of-use asset of each new lease, because EBITDA after Ind AS 116 excludes rent. That is why capex runs at 12% of sales in FY27 and FCFF stays below the PAT line for most of the decade. A buyer of the stock is paying today for stores that have not yet been built or leased.

Read-through: the base case is not bearish on growth: revenue more than triples in ten years. It is realistic about what each new square foot sells.

Valuation: ten-year FCFF DCF (primary method)

The approved modelling strategy makes the FCFF DCF the primary method. Operating cash flow is positive and growing, its driver (retail area) is disclosed every quarter, and the capital each store needs is stated by the company; the value lies in a long roll-out that a one-year multiple cannot express. P/E is secondary and EV/EBITDA a cross-check against peers. EV/sales is low reliability because gross margins differ too much across the peer set. A sum of the parts is not used because 98% of revenue is one segment and the equity-accounted stakes are under 1% of market value; P/B and NAV because a leased-store retailer's value is not on its balance sheet; FCFE because, with no financial debt, it would repeat the FCFF.

WACC build

Component	Value
Risk-free rate	7.35%
Equity risk premium	5.50%
Beta	1.13
Cost of equity (CAPM)	13.59%
Cost of debt (pre-tax)	8.50%
Tax rate	24.00%
Cost of debt (post-tax)	6.46%
Target debt weight	2.00
WACC	13.44%

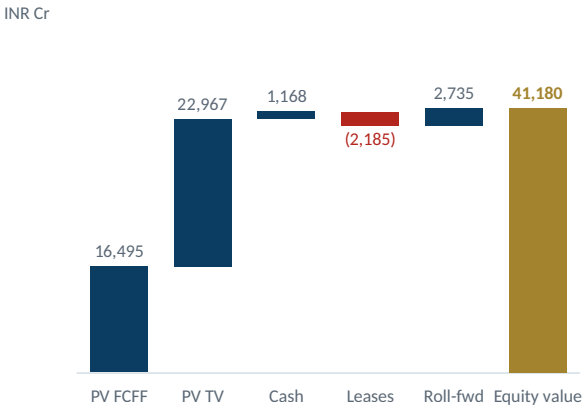
Source: Risk-free: 10Y G-sec 7.35%, 13 Oct 2026. Beta 1.2 raw (published 1.28-1.82; DMart 0.48-0.52, V-Mart 0.94-0.95), Blume-adjusted to 1.13. ERP 5.5%, house convention. Mid-year discounting from the 31 March 2026 balance sheet; equity rolled to the 14 October cover date at the cost of equity.

Enterprise to equity value (INR Cr)

Item	Value
PV of explicit FCFF	16,495
PV of terminal value	22,967
TV as % of EV	58.2
Enterprise value	39,462
Add: net cash (31 Mar 2026)	431
Add: investments outside FCFF	737
Less: lease liabilities (Ind AS 116)	-2,061
Less: minority interest (book)	-123
Equity value at 31 Mar 2026	38,446
Roll forward to 14 Oct 2026 (cost of equity)	2,735
Equity value	41,180
Shares outstanding (Cr)	53.32
Intrinsic value per share (INR)	**772**

Source: model.json

Enterprise value to equity value (INR Cr)



Source: model.json

Read-through: Terminal value is 58% of EV. It is funded: at a 20% return on new capital, 6% growth needs 30% of NOPAT reinvested every year.

FCFF forecast (INR Cr)

Particulars	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E	FY36E
Revenue	24,085	27,931	32,300	36,993	42,017	47,193	52,587	57,988	63,677	69,732
Growth	20.0%	16.0%	15.6%	14.5%	13.6%	12.3%	11.4%	10.3%	9.8%	9.5%
EBIT	3,109	3,582	4,180	4,808	5,536	6,321	7,183	8,058	9,013	10,049
NOPAT	2,363	2,722	3,177	3,654	4,208	4,804	5,459	6,124	6,850	7,637
Add: D&A	1,588	1,949	2,280	2,590	2,867	3,118	3,334	3,540	3,723	3,897
Less: capex incl. new leases	-2,842	-3,100	-3,359	-3,551	-3,739	-3,870	-4,049	-4,175	-4,330	-4,463
Less: change in NWC	265	-294	-334	-359	-384	-395	-412	-413	-435	-463
FCFF	**1,374**	**1,277**	**1,764**	**2,335**	**2,951**	**3,656**	**4,332**	**5,076**	**5,808**	**6,609**

All periods shown are projections.

Source: model.json: free cash flow from the linked three-statement model, whose balance sheet ties in every year. The Excel model's DCF sheet computes the same rows as live formulas.

What the price assumes, and what moves our value

Sensitivity: WACC x terminal growth (INR per share)

WACC / g	5.0%	5.5%	6.0%	6.5%	7.0%
12.4%	861	883	908	937	972
12.9%	798	816	836	858	885
13.4%	743	757	773	791	811
13.9%	694	706	718	732	748
14.4%	651	660	670	681	694

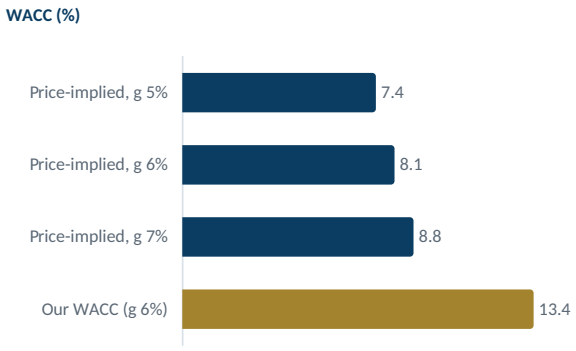
model.json. Every cell sits below the INR 2,971 share price.

Scenarios (a range, not probability-weighted)

Case	Y1 growth	Exit EBIT %	g	INR/share	TV % EV
Bear	14.8%	12.2%	5.0%	483	52%
Base	20.0%	14.4%	6.0%	772	58%
Bull	22.9%	15.6%	6.5%	1041	62%

Source: Bull: Zudio back to ~250 stores a year, sales per sq ft stops falling in FY28, EBITDA margin 21%. Bear: productivity keeps falling, openings slow to ~2.5 mn sq ft a year, margin 18%. Each case rebuilds the three-statement model.

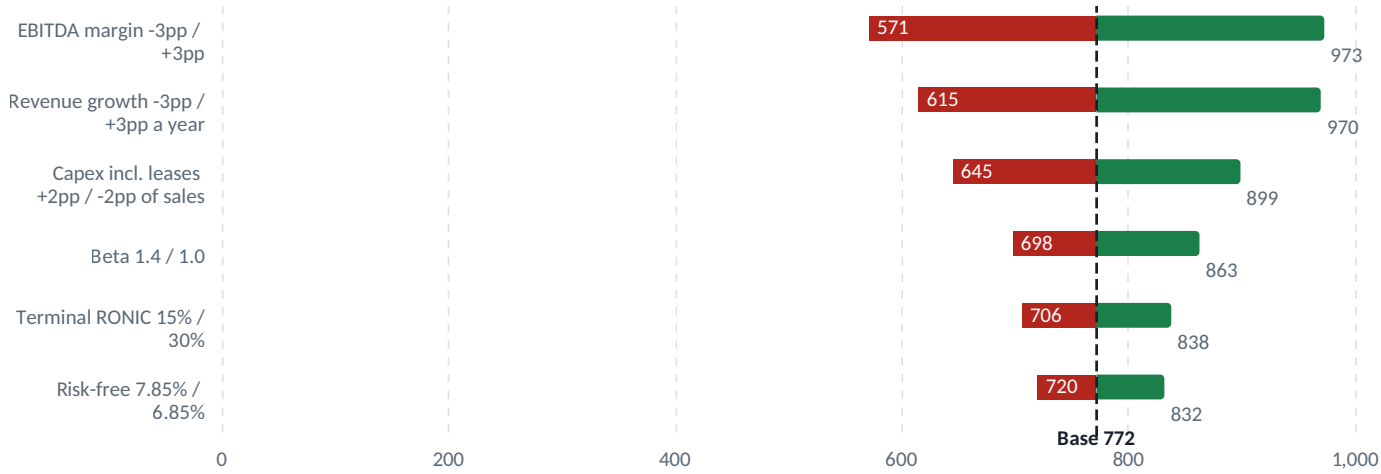
WACC implied by the share price vs ours (%)



Source: Our FCFF path discounted to the market EV at the cover date

Read-through: At our cash flows the price requires a WACC of 8.1% (6% terminal growth), against our 13.44% and a 7.35% government bond.

What moves the value (INR per share, base case)



Source: Model re-run with one driver flexed at a time

Read-through: EBITDA margin -3pp / +3pp is the widest bar (INR 571 to 973); operating drivers matter more than the discount rate. The most favourable single flex, INR 973, is still INR 1,998 below the price.

Cross-checks and the target price

The terminal value, three ways

The perpetuity at 6% growth and a 20% return on new capital implies an FY36 exit at **5.5x** EV/EBITDA. That looks low, but EBITDA after Ind AS 116 excludes rent, so an EBITDA multiple overstates what a retailer's cash flow is worth; on our numbers about a third of FY36 EBITDA is absorbed by depreciation of leased and owned store assets that must be replaced. Re-running the same cash flows to an explicit exit gives:

DCF value by terminal convention

Terminal	INR/share	vs CMP
Perpetuity, g 6% (5.5x implied)	772	-74%
Peer median 14.0x exit	1,494	-50%
25x exit (a mature FY36 Trent)	2,424	-18%
40x exit (today's multiple)	3,692	+24%

Source: model.json FCFF and FY36 EBITDA; exit values discounted at the model WACC

At our 20% return on new capital, a 40x exit implies 12.9% growth in perpetuity, against a 13.4% WACC: the multiple only works if Trent grows almost as fast as its cost of capital forever.

Target price

The target is the perpetuity DCF, INR 772 today, rolled 12 months forward at the 13.6% cost of equity less the FY27E dividend of INR 3.45: INR 874, rounded to **INR 875**, -71% from INR 2,971.00. Under the house rating policy (SELL below -10%, BUY above +15%) the rating is mechanical: **SELL**.

The other methods sit around the target: the bear-to-bull range of INR 483-1041, the peer EV/EBITDA band of INR 978-1,222 and the peer P/E band of INR 1,408-2,022. Only one approach reaches the price: assuming Trent still trades on 40x EBITDA in FY36 gives INR 3,692.

Where the DCF and the market disagree. The market is valuing Trent as if every new store will eventually be as productive as the existing base and the roll-out can run for decades at today's return on capital. The FY26 numbers show new space selling materially less per foot, opening late in the year and depreciating fast. Our base case still credits a tripling of revenue; it does not credit a multiple that only a much lower cost of capital can justify.

Read-through: to justify INR 2,971 on our cash flows you need a WACC near 8%, about one point above the government bond; or cash flows roughly 4 times ours.

Stress tests: the balance sheet holds; margin and productivity are the risk

How the tests work

Each stress rebuilds the linked three-statement model, so working capital, the revolver and interest respond to the shock instead of being estimated beside it. Leverage is measured against **1.0x net debt/EBITDA** (house reference, not a covenant) and interest cover against **5.0x EBITDA/interest** (house reference). Neither is a disclosed loan covenant: the annual report states only that covenants are met.

The base case is not fully funded. On our capex and dividend path the model draws INR 624 Cr on its revolver, peaking in Mar-27E: borrowing beyond the term debt we model. The company has not disclosed how it will fund this, so the valuation assumes it can be raised at our cost of debt.

Named stresses (value per share in INR; leverage peak and year)

Stress	INR/share	vs base	Peak ND/EBITDA	Min cover	Revolver peak (Cr)
Base case	772		-0.03x (Mar-27E)	25.2x	624
Store openings halve, FY27-FY29	729	-6%	-0.27x (Mar-27E)	28.1x	0
Sales per sq ft falls 10% in FY27	742	-4%	-0.05x (Mar-27E)	24.5x	552
EBITDA margin 3pp lower	571	-26%	0.09x (Mar-27E)	19.0x	1,467
Rates 200 bp higher	595	-23%	-0.03x (Mar-27E)	20.2x	656
Inventory 25 days higher	736	-5%	0.17x (Mar-27E)	20.6x	1,593
Combined: openings halve + margin -3pp + inventory +25 days	520	-33%	0.06x (Mar-27E)	18.8x	997

Source: stress.json; ! marks a breached reference level. Leverage reference: Trent has no financial debt after redeeming its 5.78% NCD on 29 May 2026 (AR KB p.226) and discloses no covenant. 1.0x net debt/EBITDA marks the point at which a debt-free retailer would be borrowing to fund its store roll-out; lease liabilities are excluded, as in net_debt.

Two drivers at once (INR per share)

EBITDA margin (pp) / Revenue growth (pp a year)	-6pp	-3pp	+0pp	+3pp	+6pp
-6pp	221	286	370	479	617
-3pp	356	450	571	725	918
+0pp	491	615	**772**	970	1,218
+3pp	626	779	973	1,216	1,519
+6pp	761	944	1,174	1,462	1,820

Rows: EBITDA margin (pp); columns: Revenue growth (pp a year), both relative to the base case. Peak net debt/EBITDA across the grid ranges -0.21x to 0.35x. Even the best corner is INR 1,820 against a price of INR 2,971.

Reverse stress: how far before leverage breaks

- **Uniform cut to revenue growth (pp a year):** no breach within -20. Leverage stays inside the reference level, but value falls to INR 185: this shock destroys value, not solvency.
- **Uniform cut to EBITDA margin (pp):** breaches at -9.38 (peak 1.01x in Mar-30E, value INR 144).

What would show it early

- **Store openings halve, FY27-FY29:** Net store additions below 60 in any quarter of H2 FY27 (Q2 FY27: 27).
- **Sales per sq ft falls 10% in FY27:** Standalone revenue growth below 15% in Q3 FY27 with area growth above 20%.
- **EBITDA margin 3pp lower:** Quarterly EBITDA margin (post Ind AS 116) below 17% for two consecutive quarters.
- **Rates 200 bp higher:** 10-year G-sec above 8.5%.

Invariant checks (value rises with growth and margin; no adverse case raises value): all hold.

Read-through: The worst single stress is **combined: openings halve + margin -3pp + inventory +25 days** at INR 520 a share. 0 of 6 stresses breach a leverage or cover reference level. None of them changes the rating: every case values the stock below the price.

Relative valuation: a premium even to DMart

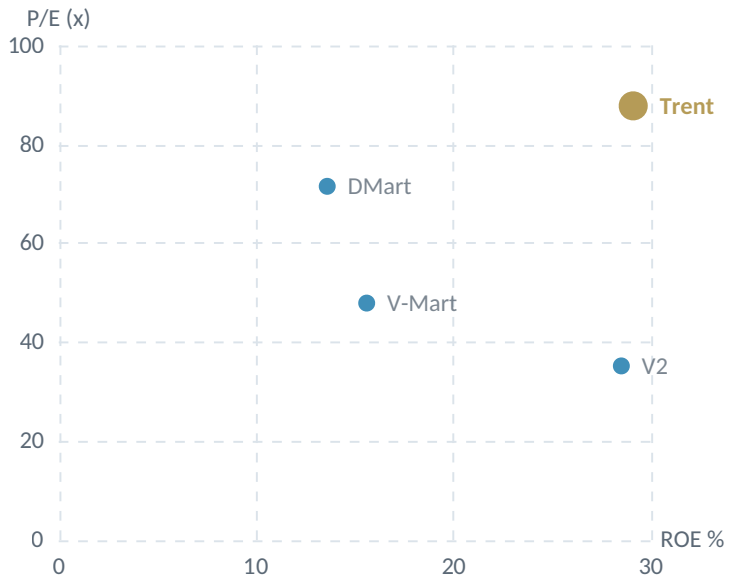
Peer comparables, trailing (priced 14 October 2026)

Company	Price	Mkt cap (Cr)	P/E (x)	EV/EBITDA (x)	EV/Sales (x)	P/B (x)	ROE (%)	EBITDA mgn (%)
Trent	**2,971.0**	**158,423**	**87.6**	**40.8**	**7.6**	**22.7**	**29.1**	**18.8**
Avenue Supermarts	3,415.0	222,644	71.4	40.4	3.0	9.1	13.6	7.5
V-Mart Retail	827.6	6,576	47.8	13.7	1.9	6.9	15.6	13.7
V2 Retail	170.6	6,222	35.1	14.0	2.1	6.9	28.5	15.0
Aditya Birla Fashion and Retail	45.3	5,527	nm	17.0	1.3	0.9	-12.3	7.9
Shoppers Stop	373.2	4,110	nm	9.8	1.4	14.1	-11.3	14.7
Peer median			**47.8**	**14.0**	**1.9**	**6.9**	**13.6**	
Trent premium / (discount)			+83%	+191%	+300%	+229%	+114%	

Source: peer-comps build from Screener exports, consolidated, trailing twelve months to June 2026 (DMart to September 2026). Trent at post-bonus share count. ABFRL and Shoppers Stop are loss-making (P/E not meaningful). EV/sales is shown but not used as a band: the strategy rates it low reliability.

Rolling forward does not close the gap. The peer median P/E applied to our FY28E EPS of INR 51.20, discounted a year at the cost of equity, gives **INR 2,154**; the median EV/EBITDA on FY28E EBITDA, less leases, gives INR 1,222. Even DMart's own 71x applied to FY28E EPS gives INR 3,218.

ROE vs P/E: Trent and profitable peers

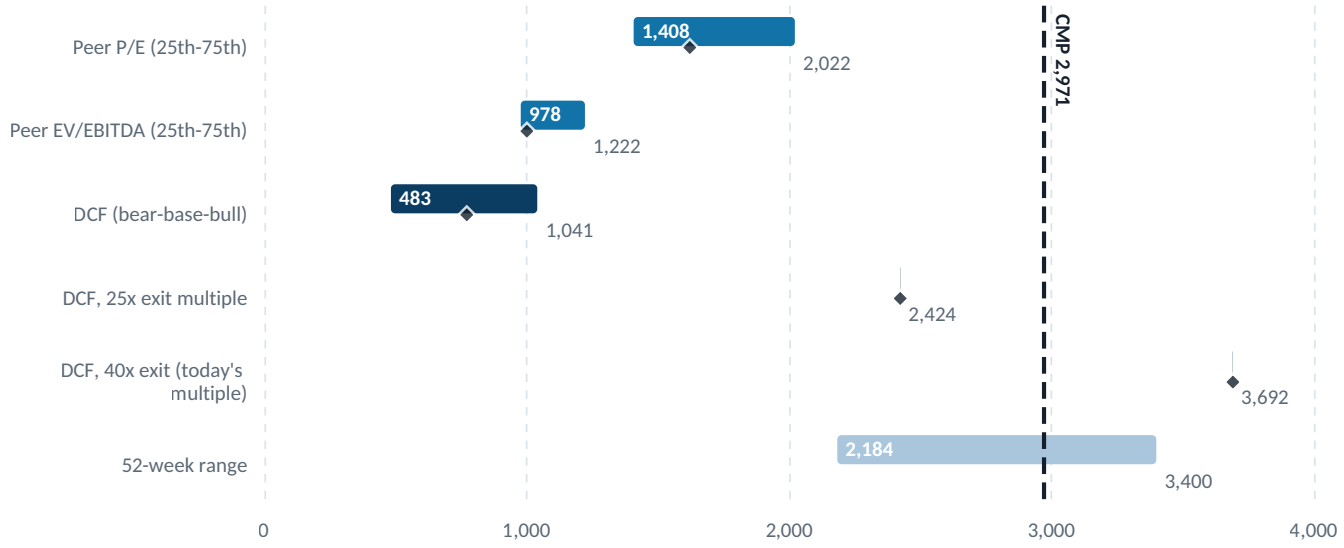


Source: peers.json

Trent trades at +83% to the peer median on P/E and +191% on EV/EBITDA. Against the apparel peers that premium buys a better business: higher margins, higher returns, faster growth and a cleaner balance sheet. The only peer valued like it is DMart, at 71.4x P/E and 40.4x EV/EBITDA, a scale grocery chain whose ROE is 13.6%.

Read-through: V2 Retail earns a similar ROE to Trent (28.5% vs 29.1%) at 35x earnings; Trent trades at 88x.

Valuation football field (INR per share)



Source: model.json, peers.json; 52-week range from Screener

Read-through: Every method sits left of the INR 2,971 line except the 52-week range and a DCF that assumes today's 40x multiple survives to FY36.

Investment rationale, risks and what would change our mind

Why SELL, target INR 875

- **The price needs a bond-like discount rate.** At our cash flows the market price implies a 8.1% WACC; ours is 13.44% on a 7.35% government bond and a beta below the stock's own.
- **New space is less productive.** Revenue per average square foot fell 14% in FY26 as Tier II and III stores, which sell less per foot by the company's own figures, became most of the area.
- **We already credit the growth.** Revenue more than triples by FY36, the EBITDA margin rises to 20% and new capital earns 20% forever. The gap to the price is not a bearish view of Trent.
- **The multiple has no anchor.** At 88x trailing earnings Trent is above DMart and more than twice the apparel peers; even a 25x FY36 exit values it at INR 2,424.

Risks to our view (upside)

- New Zudio stores mature faster than modelled and sales per square foot rises from FY27 rather than FY29.
- Margin expands further on scale and beauty: each 3 pp of EBITDA margin is worth about INR 201 a share (tornado).
- Rates fall: each 50 bp off the G-sec adds about INR 60 a share.
- Star turns profitable and its value at market is several times its book value.

Risks to the business (downside)

- Value-fashion competition in Tier II and III towns forces markdowns on a model built on not discounting.
- Food inflation at 7.74% squeezes discretionary apparel budgets in exactly Zudio's customer base.
- Cannibalisation as store density rises; like-for-like was only low single digits in FY26.
- Star JV losses widen (INR 127.92 Cr before tax in FY26).

What would change our mind

Falsifiers, logged for adjudication each quarter

Observable	Threshold	By	Our base case
Standalone revenue growth, H2 FY27	25% or more	Apr-27 results	about 20% for FY27
EBITDA margin (post Ind AS 116), two consecutive quarters	22% or more	Mar-28 quarter	19.8% in FY28
Fashion like-for-like growth, FY27 annual report	mid single digits or better	Jun-27 AR	2-4%
Retail area added, FY27	4.5 mn sq ft or more with growth held	Apr-27 results	3.45 mn sq ft

Source: Each falsifier carries a metric, a threshold and a date, so the update note can rule it tripped or not.

Verdict: an excellent retailer with clean accounts and a long runway, priced as though every new store will match the old ones and the cost of capital is a bond yield. **SELL**, target **INR 875** (-71%).

Catalyst calendar

Date	Event	Why it matters
Nov 2026	Q2 FY27 results	first margin read after the September CPI spike; H1 store openings vs FY26
Dec 2026	RBI policy	stance is 'calibrated tightening'; the 10Y G-sec sets our risk-free rate
Early Jan 2027	Q3 FY27 business update	festive-season revenue and the H2 opening pace
Apr 2027	FY27 results	full-year store and area additions; first falsifier read
Jun-Jul 2027	FY27 annual report and AGM	like-for-like and sales per sq ft by tier, the disclosures this thesis rests on

Source: Company reporting calendar (FY26 pattern), RBI

Analyst certification, methodology and disclaimer

Methodology

Ten-year consolidated financials from Screener.in, patched from the FY26 Integrated Annual Report where Screener is incomplete (trade payables, the split of borrowings into NCD and lease liabilities). Every source document was converted into a page-referenced knowledge base; page citations are to the PDF page of the annual report. The modelling architecture (one fashion segment, retail area times sales per square foot) and the valuation methods were approved before any assumption was set. Forecast assumptions are cited driver by driver in assumptions_evidence.md. The DCF discounts the free cash flow of a linked three-statement model whose balance sheet ties every year; each scenario re-runs that model, and the Excel model carries the same calculation as live formulas with a scenario switch, verified in LibreOffice. New store leases are charged as capex when signed; existing lease liabilities are deducted from enterprise value. The terminal value ties growth to reinvestment at a 20% return on new capital. Macro figures are dated and staleness-audited. Of 38 pieces of evidence behind the assumptions, 23 are reported figures, 1 management guidance, 0 long-range ambition, 0 third-party forecasts and 11 market data; every quote was checked against its source page (citation_check.json). No forecast driver rests only on long-range management ambition.

Stated limitations

- Revenue by format (Westside vs Zudio) is not disclosed; the model works on blended sales per square foot.
- Like-for-like growth is disclosed only as 'low single digits'; no new-store maturity curve is disclosed.
- Trent publishes no call transcripts; management commentary is from releases, presentations and the annual report.
- Beta is reasoned from published market betas and peers; no regression on a price series was run.
- Equity-accounted stakes (Star, Zara, Massimo Dutti, MAS) are carried at book value.
- The FY25 apparel market size and tier split are the latest published and are older than our freshness window.
- Q2 FY27 results, due in November 2026, are not reflected; the Q2 business update is.

Disclaimer

This is an academic research project and is not a recommendation to buy, sell or hold any security. It has been prepared for educational purposes as a demonstration of equity research methodology. It is not investment advice and does not take account of the objectives, financial situation or needs of any person.

Information has been obtained from sources believed to be reliable, principally the company's regulatory filings, but no representation is made as to its accuracy or completeness. Forward-looking statements involve assumptions that may not materialise. Past performance is not indicative of future results.

The analyst holds no position in the securities discussed and has no business relationship with the subject company.

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Cover date: 14 October 2026
Basis: consolidated
All figures in INR crore unless stated. Multiples in x, margin changes in bps.